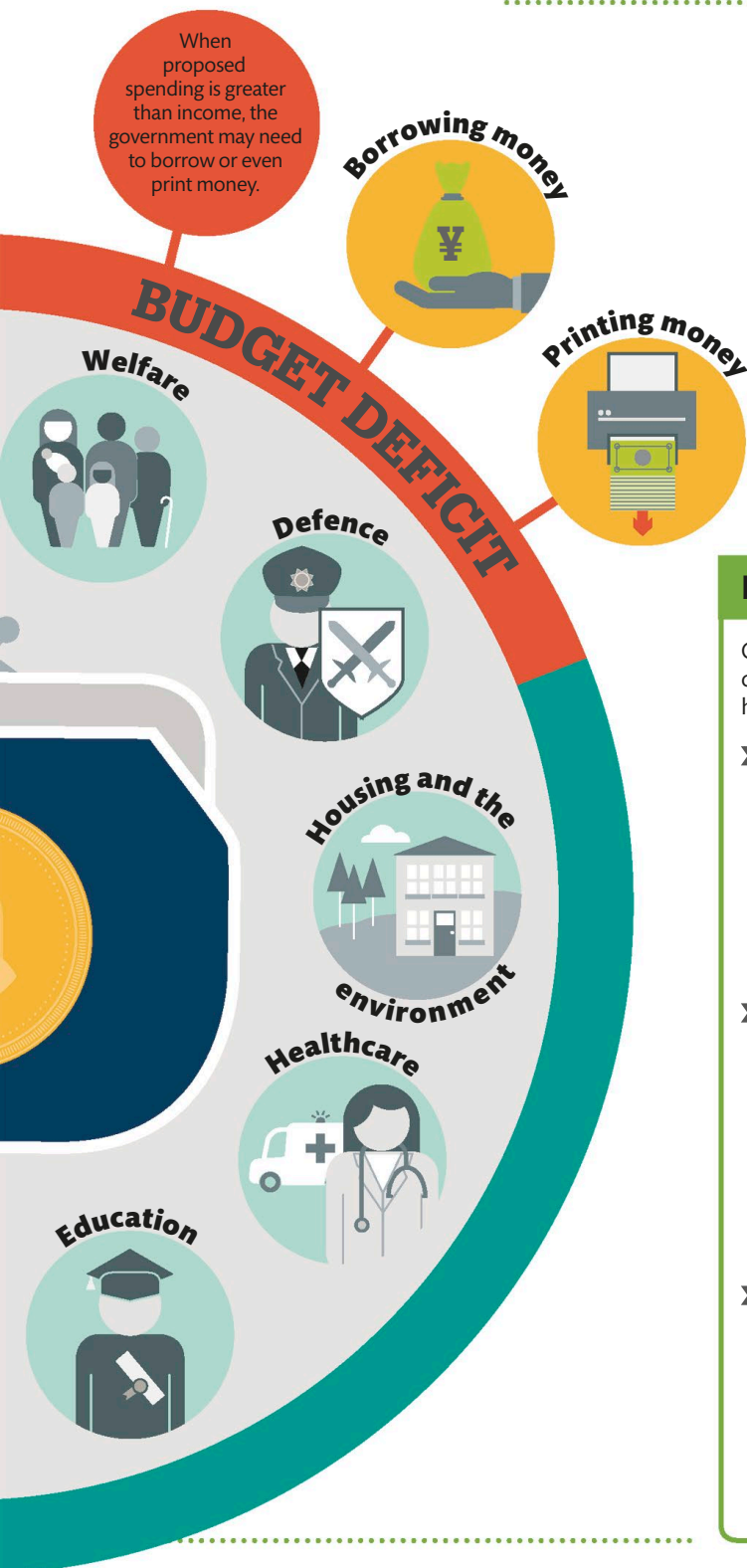




75%
of GDP: Libya's
budget deficit –
the worst
in the world

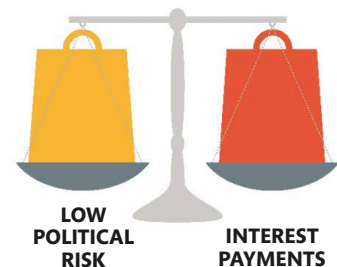
HOW GOVERNMENTS RAISE MONEY

Governments can raise funds to meet their spending commitments in three different ways. Each strategy has its own advantages and disadvantages.

› **Taxes** Governments can levy taxes on what the population earns and owns, and on foreign trade. Taxes are safe, but unpopular.



› **Borrowing** Governments can borrow from their own citizens – through pension funds for example – or from abroad. But loans incur interest charges.



› **Printing money** A government can print its own money. This seemingly simple solution is rare because of the risks it entails (see pp.144–5).

